

Tata Consultancy Services

Football Field & Valuation Summary

NSE: TCS · INR crore unless stated · per-share values in INR · as of 12 Sep 2026 · FY2026 annual report (Mar 2026)

The valuation summary for TCS that brings Projects 2–4 together: a compact rupee DCF with Indian cost-of-capital inputs, the trading-comparables range, the precedent-transactions range, the 52-week trading range and analyst targets, all expressed per share, drawn as a football field and weighted into a recommended range with the weights shown as inputs.

What this is

- Each method is normalised to INR per share at the same date and share count before it is drawn.

How it is built

- The DCF bar spans WACC ± 1% across both terminal methods; the comps and precedent bars span the peer interquartile range.
- Weights are explicit and editable; the recommended range is their weighted low / mid / high.
- The floating-bar chart is a stacked bar with an invisible base series, so it renders in Excel, Google Sheets and LibreOffice without add-ins.

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Key outputs (live)

Recommended range — low (INR)	1,652
Recommended range — mid (INR)	2,100
Recommended range — high (INR)	2,723
Share price (INR)	2,201
DCF WACC	12.6%
Model status	MODEL OK

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

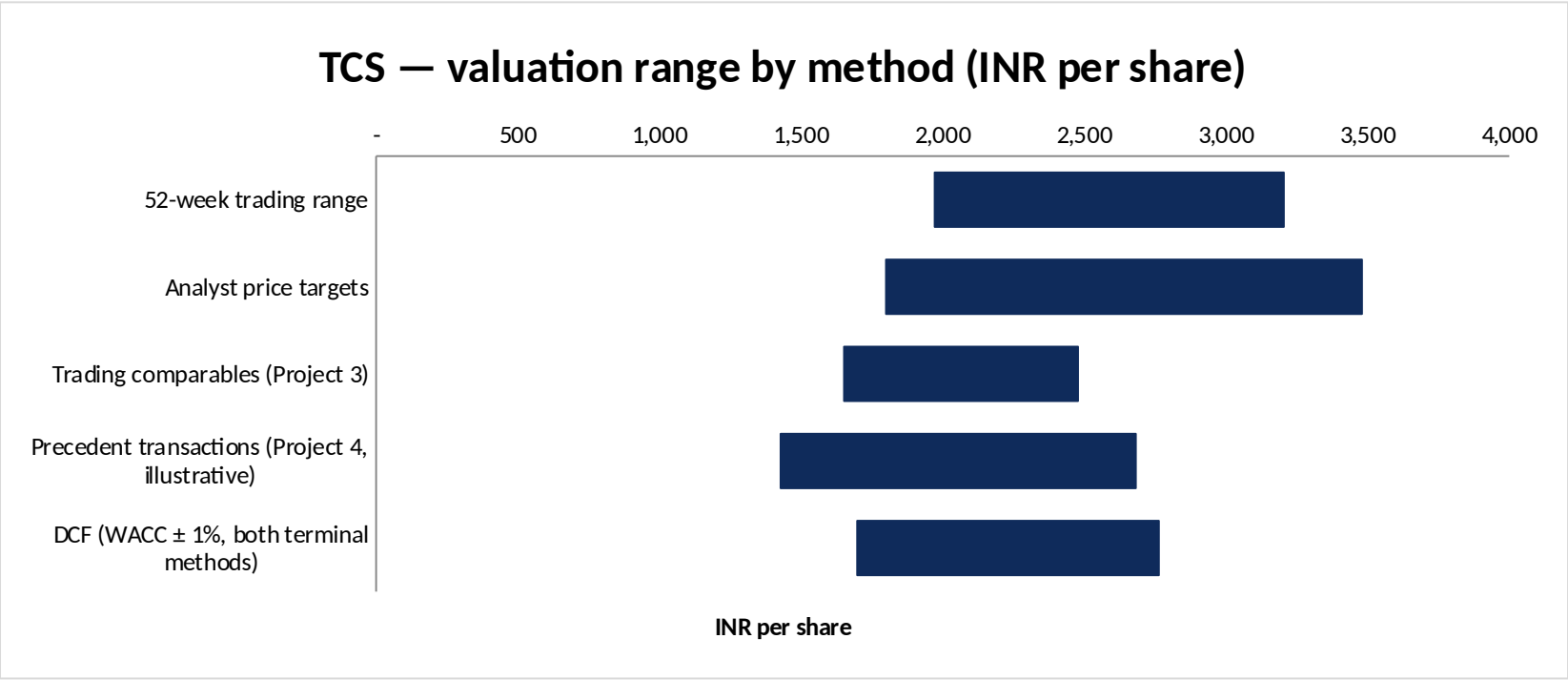
TCS FY2026 annual report; NSE prices; Yahoo Finance 52-week range and analyst targets (12 Sep 2026)

FRED INDIRLTLT01STM (India 10-year), Damodaran country risk premium
Projects 3 and 4 for the market-based ranges

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Valuation summary · INR per share · bars show low to high, marker at mid



METHODOLOGY AND THE ASSUMPTIONS THAT MOVE EACH BAR

52-week range

Where the stock has traded in the last year; context, not valuation. Zero weight.

Analyst targets

Sell-side consensus (41 analysts, median INR 2,400). Reflects the same information the other bars use; low weight to avoid double-counting.

Trading comparables

Peer interquartile range of EV/EBITDA, EV/EBIT and P/E applied to TCS (Project 3). Moves with sector sentiment; the 2026 de-rating is the reason the bar sits near the share price. Highest weight among market methods.

Precedent transactions

Control-transaction multiples 2014–2024 (Project 4). Illustrative: targets were a fraction of TCS's size and the deals were struck in a higher-multiple period; low weight.

Intrinsic value at WACC $\approx 12.6\% \pm 1\%$ (India G-sec 6.9%, ERP 6.5%, β 0.9), terminal growth 4% or 14 $\times$ exit. The bar is wide because terminal value is $\sim 70\%$ of EV; the WACC and the terminal assumption dominate. Highest weight.

DCF

RECOMMENDED RANGE AND READING

Recommended range (weighted low – high, INR) 1,652 – 2,723 (mid 2,100)

Current share price (INR) 2,201

Weighted mid vs price (4.6%)

- The methods answer different questions. Comps say what the market pays today for businesses like TCS; the DCF says what the cash flows are worth at a required return; precedents say what a buyer paid for control. When the bars overlap the share price, as here, the market is pricing TCS roughly in line with all three, and the case for a large discount or premium rests on disagreeing with a specific assumption (the ERP, the terminal growth, the sector's de-rating).
- The DCF and trading-comps bars straddle the price from opposite sides: comps sit slightly below (the sector de-rated in 2026), the DCF slightly above (TCS's cash generation supports the price at a 12–13% Indian discount rate). That is the tension a banker would present to a board.
- Weights are judgement and are shown as inputs. Change them and the recommended range moves; the point of the page is to make that judgement explicit.

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Every method expressed as INR per share · low / mid / high · weights for the recommended range

VALUATION RANGES						
Method	Low	Mid	High	Weight	Bar base (low)	Bar length (high – low)
52-week trading range	1,972	2,588	3,204	-	1,972	1,233
Analyst price targets	1,800	2,400	3,480	10.0%	1,800	1,680
Trading comparables (Project 3)	1,652	1,848	2,478	35.0%	1,652	826
Precedent transactions (Project 4, illustrative)	1,428	2,026	2,682	15.0%	1,428	1,254
DCF (WACC ± 1%, both terminal methods)	1,698	2,272	2,763	40.0%	1,698	1,065
<i>Weights sum</i>				100.0%		

RECOMMENDED RANGE	
Weighted low	1,652
Weighted mid	2,100
Weighted high	2,723
Current share price	2,201
Weighted mid vs price	(4.6%)

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Compact unlevered FCF DCF in INR crore · FY2027E–FY2031E · WACC from CAPM with Indian inputs

WACC

Cost of equity = $r_f + \beta \times \text{ERP}$	12.8%
After-tax cost of debt	5.7%
WACC	12.6%

UNLEVERED FREE CASH FLOW (INR crore)

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue growth		5.0%	4.4%	4.3%	4.1%	4.0%
Revenue	267,021	280,372	292,638	305,075	317,660	330,366
EBIT	66,714	68,691	71,696	74,743	77,827	80,940
less: tax on EBIT	(16,345)	(16,829)	(17,566)	(18,312)	(19,068)	(19,830)
plus: D&A	5,560	5,888	6,145	6,407	6,671	6,938
less: capex	(4,146)	(4,486)	(4,682)	(4,881)	(5,083)	(5,286)
less: increase in NWC		(2,003)	(1,840)	(1,866)	(1,888)	(1,906)
Unlevered free cash flow		51,261	53,754	56,091	58,460	60,855
Discount period (years, from 31 Mar 2026; valuation date $\approx$ 0.45y in)		0.05	1.05	2.05	3.05	4.05
Discount factor		0.9941	0.8828	0.7839	0.6962	0.6182
PV of UFCF		50,958	47,453	43,972	40,698	37,622

VALUATION (INR crore; per share in INR)

	Perpetuity grow	Exit multiple
Terminal value at FY2031	735,220	1,230,284
PV of terminal value	428,324	716,739
PV of forecast cash flows	220,702	220,702
Enterprise value	649,026	937,440
terminal value % of EV	66.0%	76.5%
plus: cash & investments	41,373	41,373
less: debt and minorities	(12,521)	(12,521)
Equity value	677,878	966,292
Value per share (INR)	1,874	2,671

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Compact unlevered FCF DCF in INR crore · FY2027E–FY2031E · WACC from CAPM with Indian inputs

Implied exit multiple / implied growth 8.4x 7.3%

DCF RANGE FOR THE FOOTBALL FIELD (WACC ± 1%, per-share INR)

	WACC –1%	WACC base	WACC +1%
Perpetuity growth	2,095	1,874	1,698
Exit multiple	2,763	2,671	2,583
DCF low / mid / high used on the field	1,698	2,272	2,763

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Market data, DCF assumptions and the ranges brought in from Projects 3 and 4

MARKET DATA

Share price (INR)	2,200.80	NSE close, 12 Sep 2026
52-week low (INR)	1,971.80	Yahoo Finance, 12 months to 12 Sep 2026
52-week high (INR)	3,204.30	
Analyst target low (INR)	1,800.00	Yahoo Finance consensus, 41 analysts
Analyst target median (INR)	2,400.00	
Analyst target high (INR)	3,480.00	
Diluted shares (crore)	361.81	FY2026 annual report; 361.81 crore = 3,618m

DCF ASSUMPTIONS (INR)

FY2026A revenue (INR crore)	267,021	FY2026 annual report (year to 31 Mar 2026)
FY2026A EBIT (INR crore)	66,714	Reported operating profit before other income
FY2026A D&A (INR crore)	5,560	
FY2026A capex (INR crore)	4,146	
Cash & investments (INR crore)	41,373	Cash, equivalents and current investments, 31 Mar 2026
Debt incl. leases (INR crore)	11,283	Mostly lease liabilities
Minority interest (INR crore)	1,238	
Revenue growth FY2027E	5.0%	Consensus FY2027 revenue INR 2.91 lakh crore (+9% in INR, ~5% constant currency); bas
Revenue growth FY2028E–FY2031E (fading)	4.5%	Fades linearly to terminal growth
EBIT margin	24.5%	FY2024–26: 24.6%, 25.9%, 25.0%; held at 24.5%
Effective tax rate	24.5%	FY2026: 24.5%
D&A as % of revenue	2.1%	FY2026: 2.1%
Capex as % of revenue	1.6%	FY2026: 1.6%
Change in NWC as % of incremental revenue	15.0%	Receivable-heavy business; FY2024–26 average
Risk-free rate (India 10-year G-sec)	6.9%	FRED INDIRLTLT01STM, Jun 2026: 6.89%
Equity risk premium (India)	6.5%	Damodaran mature-market ERP plus India country risk premium, 2026 (approx.)
Beta	0.90	TCS 5-year weekly beta vs Nifty 50 ≈ 0.85–0.95; low-beta defensive
Pre-tax cost of debt	7.5%	Lease-implicit rate; immaterial weight
Debt weight	2.0%	Book debt / market equity
Terminal growth	4.0%	Nominal INR; below long-run Indian nominal GDP
Terminal EV / EBITDA exit multiple	14.0x	Below TCS's current 10-year average (~18x) and the precedent median (14.7x)
Mid-year convention (1 = on)	1	

RANGES FROM OTHER PROJECTS (INR per share)

Trading comps — 25th pct (Project 3, median across multiples)	1,652	Project 3 Summary: EV/EBITDA @25th = 1,652; range across methods 1,215–2,942
Trading comps — median	1,848	Project 3 Summary: median across methods
Trading comps — 75th pct	2,478	Project 3 Summary: EV/EBITDA @75th
Precedents — 25th pct (Project 4, EV/Revenue)	1,428	Project 4 Summary; illustrative (targets much smaller than TCS)
Precedents — median	2,026	
Precedents — 75th pct	2,682	

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Integrity checks · should all be TRUE

Weights sum to 100%	TRUE
Every range is ordered $\text{low} \leq \text{mid} \leq \text{high}$	TRUE
WACC above terminal growth	TRUE
DCF terminal value share of EV between 50% and 90%	TRUE
Implied exit multiple from perpetuity method between 8x and 30x	TRUE

OVERALL

MODEL OK